4. Reduction of expenditure
5. Special focus on principal functions
6. Outsources reduces risk



16.05 E-COMMERCE

E - Commerce or Electronic Commerce is the buying and selling of goods and services through electronic networks like internet. E – Business is a broader term which includes internal and external transaction of an organization across the internet. The internal transactions include finance, production, operations etc., while external transactions include customer – service, sales, marketing and business to business transactions. The term e – commerce denotes mainly external transactions, According to Deloitte Association report, seventy percent of revenue in e – Commerce in India in the year 2015 was only from online travel followed by online retail which accounted for 20 percent of revenue. The major segments in the sphere of e – commerce includes Health, Education, Real estate, Financial services, Digital downloads, Online classified advertisement etc.,

B. General Impact of E – commerce

About 40 million people of India is said to be employed in E – Commerce sector either directly or indirectly

i) E – commerce generates great opportunities for entrepreneurship in the sphere of online retailing, online service digital commerce and so on

ii) E – commerce companies have invested heavily in supply chain area, warehousing, and delivery points

iii) With a rise in e - commerce transactions sale of financial, physical and data security system related products has seen tremendous growth in India

iv) E – commerce promotes innovative practices of carrying on business. Social media and social media networks have opened new ways of transacting with the customers through e - commerce

v) Thanks to wider broad band connectivity many business concerns are switching over to e – commerce mode of transacting business

vi) More contemporary customers are buying through Flipkart and Amazon

vii) Direct marketing companies are using internet to promote products and render efficient customer service

C. Impact of E- commerce on vendors

i) Vendors could have a wider access to customers across the globe

ii) This helps minimize the cost of operating business due to direct distribution of goods to end consumers thanks to minimum invention of intermediaries

iii) Vender could interact with multiple buyers and sellers

iv) Business concerns could orient marketing efforts towards targeted customers.

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